



DEPARTMENT OF THE NAVY

NAVAL SURFACE WARFARE CENTER
PHILADELPHIA DIVISION
5001 SOUTH BROAD STREET
PHILADELPHIA PA 19112-1403

IN REPLY REFER TO
D&F No. 0241-25-093-00

DETERMINATION AND FINDINGS

Upon the basis of the following findings, pursuant to 15 U.S.C. § 657q as implemented in Federal Acquisition Regulation (FAR) 7.107-2 and Navy Marine Corps Acquisition Regulation Supplement (NMCARS) 5207.107-2, it is hereby determined that the Naval Sea Systems Command (NAVSEA), Naval Surface Warfare Center, Philadelphia Division (NSWCPD) Structural Integrity, Welding, and Non-Destructive Evaluation (NDE) and Corrosion Control Support Services requirements may be consolidated.

FINDINGS

1. Identification of Directorate and Contracting Activity

This Determination and Findings (D&F) has been prepared by the NSWCPD Contracts Department, Code 02.

2. Nature/Description of Action

NSWCPD is planning to issue a single solicitation to provide engineering services and technical products needed to support Hull, Mechanical and Electrical (HM&E), advanced welding engineering, NDE, and Structural Integrity needs of United States (US) Navy, US Coast Guard, Maritime Administration (MARAD), and foreign Navy ships through the Foreign Military Sales (FMS) program.

NSWCPD, Code 337 provides engineering services and technical products needed to support HM&E, advanced welding engineering, NDE, and Structural Integrity needs of US Navy, US Coast Guard, Maritime Administration (MARAD), and foreign Navy ships through the Foreign Military Sales (FMS) program. The engineering and technical solutions, and associated ILS support, is provided throughout all phases of modernization, upgrade, inspection, maintenance, repair and project/program management, and spans across several locations and includes shipboard work.

NSWCPD, Code 332, is responsible for a broad spectrum of materials engineering programs in the areas of marine corrosion, materials, engineering, electrochemistry, coatings, structural engineering, Special Hull Treatment (SHT), cathodic protection and water chemistry as related to US Navy vessels Hull Mechanical and Electrical systems. NSWCPD provides fleet Research Development, Test & Evaluation (RDT&E) and In-Service Engineering Agent (ISEA) support at command, intermediate maintenance, and fleet field sites throughout the US. Additionally, support in these technologies is also provided to US Marine Corps and Army assets.

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This procurement action will consolidate these requirements which had been previously contracted separately by two (2) Contractors, Orbis Sibro, Inc. (Orbis) and Vision Point Systems, Inc. (VPS). Currently, Orbis is performing the below NDE & Structural Integrity Support requirement under Seaport-NxG Contract No. N0017819D8239 Task Order N6449821F3013 (detailed under paragraph a). and VPS is performing the below Corrosion Control Services requirement Seaport NxG Task Order N6449821F3014(detailed under paragraph b).

a. Non-Destructive Evaluation & Structural Integrity Support Contract.

On 17 December 2020, Seaport-NxG Contract No. N0017819D8239 Task Order N6449821F3013 was competitively awarded to Orbis for [REDACTED] for engineering services and technical products needed to support HM&E, advanced welding engineering, NDE, and Structural Integrity needs of US Navy, US Coast Guard, MARAD, and foreign Navy ships through the FMS program. This Task Order expires on 16 Dec 2025.

b. Corrosion Control Services Contract.

On 15 January 2021, Seaport NxG Task Order N6449821F3014 was awarded as a single bid to VPS for [REDACTED] for the broad spectrum of materials engineering programs in the areas of marine corrosion, materials, engineering, electrochemistry, coatings, structural engineering, Special Hull Treatment (SHT), cathodic protection and water chemistry as related to US Navy vessels Hull Mechanical and Electrical systems. This Task Order expires on 14 January 2026.

The total contract value of the two (2) Task Orders is [REDACTED]. After consolidation, the combined efforts will have an estimated value of [REDACTED] and will be competed as a Small Business Set-Aside under SeaPort-NxG with a period of performance of one (1) 12-month base period and four (4) 12-month option periods. The difference in value is attributed to the labor market and economy as a whole experiencing volatile escalation between the time the two (2) previous Task Orders were awarded and the development of this requirement.

3. Results of Market Research

As discussed in detail below, market research indicates that there are two (2) small businesses that appear capable of providing the required services at fair market prices. In accordance with FAR 19.502-2(a), this requirement shall be set aside for Small Businesses. Thus, consolidation would have no negative impact on Small Businesses. In addition, any alternative of lesser consolidation (Section 5) does not lead to increased competition, and although there is some benefit in this alternative, it is outweighed by the substantial benefits of consolidation.

Market research was performed through a review of previous acquisitions for similar requirements and discussions with the requiring technical divisions.

In accordance with FAR Part 10, a determination has been made that Government's need cannot be met by a type of service customarily available in the marketplace as they are not of a type offered and sold competitively in substantial quantities in the commercial marketplace based on established

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catalog or market prices for specific tasks performed under standard commercial terms and conditions. The DoD Commercial Item Database within PIEE was queried before making this non-commercial determination.

Market research revealed two (2) Small Businesses as potential sources with experience in similar requirements. The chart below lists the companies:

Name of Company	CAGE	Size
Orbis	1SEL4	Small *
Vision Point Systems, Inc	3T8W5	Small

**Orbis was a Small Business under the previous Task Order but is now a Large Business.*

Planning: A Sources Sought Notice (SSN) was issued for both the Structural Integrity, Welding, NDE and Corrosion Control Support Services portion of the statement of work. The SSN was posted on Seaport-NxG on 28 May 2024 for twenty-four (24) days and was posted with the North American Industry Classification System (NAICS) Code 541330, Engineering Services. The SSN's objective was to determine the competitive landscape for consolidating Structural Integrity, Welding, NDE and Corrosion Control Support Services requirements.

A total of six (6) responses were received. The chart below lists the companies and whether the companies appeared to be potential sources that are technically capable:

Name of Company	CAGE	Size	Appear Technically Capable
Elzly Technology Corp.	8AEF3	Small	Yes
Vision Point Systems, Inc.	3T8W5	Small	Yes
Integrity Technical	85X29	Small	No
RV Global Solutions	6TC84	Small	No
QED Systems, Inc.	7B572	Large	Yes
Precise Systems	0GM03	Large	No

Of the six (6) responses received, two (2) of the small businesses and one (1) large business appeared to be technically capable and qualified to complete all requirements as outlined in the Sources Sought Notice. As a result of the technical review of submissions, it was determined that there is reasonable expectation that an offer will be obtained from at least two (2) responsible Small Business concerns and that an award will be made at fair market prices. As a result, this acquisition will be procured as a Small Business Set-Aside.

Program History: The Non-Destructive Evaluation, Structural Integrity Support and Corrosion

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Control Services contracts were awarded to Orbis and VPS respectively through total Small Business Set-Asides. Below is recent history:

(a) Non-Destructive Evaluation & Structural Integrity Support Contract (N6449821F3013):

In 2020, when this contract was competed, there were three (3) offers received in response to the solicitation, which were from Small Businesses: ORBIS, LPI Technical Services (LPI), and Parts Life Incorporated (PLI). This requirement was set-aside for Small Business.

(b) Corrosion Control Services Contract (N6449821F3014):

In 2020, when this contract was competed, there was only one (1) offer received in response to the solicitation, which was from a small business (VPS). This requirement was set-aside for Small Business.

Small Business Impacts: NSWCPD has considered the potential impacts of this consolidation to Small Businesses. As noted above, market research indicates a reasonable expectation of obtaining offers from two (2) or more responsible Small Business concerns that are competitive in terms of fair market prices, quality, and delivery. Therefore, in accordance with FAR 19.502-2(a), this requirement shall be set aside for Small Businesses. Thus, in accordance with 15 U.S.C. § 657q(c)(1)(D) and FAR 7.107-2(a)(4), NSWCPD has found that this consolidation in-and-of-itself will ultimately have no negative impacts on contracting with small business concerns. This consolidation determination has received concurrence from NSWCPD's Office of Small Business Programs (00K).

4. Benefits of Planned Consolidation

NSWCPD has determined that the consolidation of these two previously separate actions awarded to ORBIS and VPS into one combined follow-on action provides substantial benefits to the Government. These benefits are both tangible to the Government in terms of efficiency and quantifiable in terms of favorable cost impact. The expected benefits in terms of quality, schedule, and workforce are critical to NSWCPD Codes 332 and 337's ability to rapidly deliver quality corrosion control, structural integrity, welding, and non-destructive evaluation solutions that enhance warfighter capabilities. These benefits are as follows:

Quality and Schedule: Consolidating N6449821F3013 and N6449821F3014 requirements into one Seaport Task Order directly aligns with NAVSEA's and NSWCPD's missions and will improve the quality of the end product. The technical services obtained through these two (2) Task Orders are similar in that they support the sustainment and maintenance of ship hull structural integrity. Structural integrity must be continuously assessed by the NSWCPD In-service engineering agents for corrosion resistance and susceptibility, welding integrity, and material properties (strength, malleability, etc). The regular analysis and assessment of the structures/materials is imperative due to the 50+ year service life of ships. Consolidation will facilitate an increase in overall quality and

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timeliness of the Contractor's delivered products, allowing one Contractor to effectively integrate support services and adjust resources as necessary. Consolidation will also increase the quality and timeliness of services provided by having one Task Order with standard terms and conditions, with one Program Manager responsible for resultant Task Order performance. Such efficiencies promote consistency and compliance with NSWCPD quality control processes and procedures. Furthermore, a Contractor executing the requirement under a single Task Order encourages higher quality and consistent deliverables when compared to the potential of having two Contractors executing related requirements under separate contracts. A single Contractor, in concert with any Subcontractors, may be more invested in delivering higher quality support requirements. Further, consolidation encourages innovation with respect to integration across functional areas.

Ultimately, to solicit and award separate Task Orders for services that are very similar in scope is inefficient. This approach would lead to higher contract costs, slippage of milestones and schedules and quality control redundancies. There would be duplicative quarterly program review support, Contract Data Requirements List (CDRL) and Data Item Descriptions (DID) deliverables, and management of CDRLs and DIDs. The consolidation of the requirements is expected to lead to a comprehensive, well-rounded technical proposal, leading to overall improvement of the delivery and quality of supplies and services. Consolidation of the engineering support will increase the quality and timeliness of services provided by having one Seaport Task Order and enabling standard terms and conditions. Unquantifiable benefits also include eliminating duplication of processes for concurrent requirements. The development of multiple acquisition documents (Request for Proposals, Business Clearance Memorandums, technical evaluations, etc.) are also eliminated.

Consolidation will increase the quality of the supplies and services provided by:

- Having one (1) SeaPort Task Order with standardized terms and conditions
- Having a single Procuring Contracting Officer (PCO), Contract Specialist, Contracting Officer's Representative (COR), and Contract Program Manager for the service performance; and
- Promoting consistency and accountability in the execution of the Statement of Work (SOW).

Consolidation of the two (2) contract requirements ensures that such structural integrity, welding, NDE support and corrosion control functions are managed under a single Task Order. Such efficiencies promote consistency and compliance with Corrosion Control and Level 1 quality control processes and procedures. Experience has shown that having these requirements managed under one Task Order will significantly improve the quality of the Navy HM&E systems and will substantially benefit mission execution of the fleet and warfighter.

Workforce Benefits: The consolidation of the efforts will enable the Contractor to provide a better and more efficient service by streamlining processes, reducing redundancies, and optimizing resource allocation, ultimately leading to improved quality and cost-effectiveness. Consolidating the required effort under a single Seaport-NxG Task Order would provide an overall increase in

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workforce stability and provide consistent workforce expectations across staff supporting the effort. One enterprise Task Order is more beneficial than multiple similar Task Orders since there will be a specific point of contact for both the Government and Contractor and there will be the ability to incorporate more than one requirement into each order, ultimately reducing the number of orders placed.

Reduction in Acquisition Cycle Times: Duplication of processes and document requirements is a significant strain on acquisition productivity. The proposed consolidation drastically reduces the documentation required to acquire the services desired thereby reducing the technical, contractual, and administrative burden of conducting multiple simultaneous competitions. There is significant benefit in consolidating both Task Orders, as removal of duplicative acquisition steps (e.g., solicitation, business clearance drafting and approval, and completion of negotiations) will reduce acquisition personnel support by at least 12 months from the alternative acquisition strategies. This estimate is based on the average time to conduct a tradeoff competition combined with the average manpower required to evaluate multiple proposals for each competition. Consolidation reduces acquisition, program management, contracts, and legal manpower requirements. Consolidating these requirements creates efficiencies through the reduction of Government pre-award solicitation development and proposal evaluation, as well as post-award monitoring, administration, and closeout.

Cost Savings: Pursuing N6449821F3013 and N6449821F3014 as separate Task Orders would incur additional costs over a five (5) year period, as outlined below.

- a. Source Selection: Reducing the solicitations released from two (2) to one (1) will result in a [REDACTED] source selection costs savings.
- b. Contract Administration: As of 29 January 2025, there have been seventy-one (71) modifications issued under Seaport Task Order N6449821F3013, and fifty-six (56) modifications issued under Seaport Task Order N6449821F3014. For a total of 127 modifications issued under both Task Orders.
 - If both Task Orders were consolidated, redundant tasking within Technical Instructions (TIs) could be eliminated to reduce the number of modifications. In looking at the TIs Statements of Work for previously awarded modifications, ten (10) could have been eliminated and combined into similar modifications. There are administrative costs to award a modification. This could have led to additional reductions in administrative costs.
 - There would also be a reduction in additional administration staff if both Task Orders were consolidated. With two contracts in place, there is duplication of efforts for the Contracting Officer's Representative (COR), Quality Assurance, Security, and DCAA auditing support. The consolidation of Task Orders would result in additional administrative cost savings.

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- c. Program Management: There would be additional costs to the Government for the next five years for two (2) Program Managers IIs if the Task Orders were not consolidated.

Favorable cost impacts are expected to be realized by a reduction in contract administration costs. If two separate follow-on Task Orders are awarded, the Government is expected to incur additional administrative costs over a five (5) year period. Although these cost savings would not alone qualify as “substantial” under FAR 7.107-2(d), they do represent an actual benefit of the consolidated approach in addition to the substantial non-monetary benefits described above. Further, this consolidation strategy is considered to be critical to the agency’s mission success by increasing NSWCPD’s ability to efficiently and quickly adapt to changing mission requirements and reduce potential delays and flexibility to deal with urgent needs. It is also considered to have no impact on Small Business participation.

5. Alternate Acquisition Strategies

The alternative approach considered was to maintain the status quo and continue issuing separate competitively awarded contracts for the Welding, NDE and Corrosion Control Support Services requirements. This was determined to not be in the best interest of the Government.

DETERMINATION

Based upon the foregoing findings, I hereby determine that the consolidation of requirements described in such findings is necessary and justified, pursuant to 15 U.S.C § 657q, as implemented in FAR 7.107-2 and NMCARS 5207.170-2.



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Technical Director, NSWCPD

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